

Week 51 Deep Research -- Micro-Cap Portfolio

Date: Monday, 2026-08-31 (intraday, ~10:00 AM EDT) | Week: 51 of 52 | Runway: ends 2026-09-18 (14 sessions including today)

Session d
positions :

1. RESTATED RULES

- Universe: US-listed common stock, market cap $\leq$ \$5B. No ETFs, CEFs/BDCs, SPACs, ADRs, units/warrants.
- Cash floor: 8% (amended from 15% on 2026-08-28).
- Risk-per-trade $\leq$ 5% of equity; single-name ceiling 30%.
- Stops mandatory, never lowered. Range check: below the most recent session's low AND $\geq$ 1.5xATR from the reference price.
- One open order per stock -- new shares in an existing name inherit that name's current stop.
- Sector cap 2 per GICS sector (healthcare 3).
- PRV gate: browser-fetch the live quote page before ANY buy/sell/trim/add.
- No averaging down more than 5% below entry without a confirmed new catalyst.

2. RESEARCH SCOPE

Retrieved Monday 2026-08-31, 09:53-10:05 AM EDT -- with the market OPEN. Every price below is a live intraday quote, not a settled close. This is stated on each figure and matters for the order-side checks.

Check	Method	Result
Settled OHLC through Fri 8/28	trading_script.py daily run	Complete
ATR(14), stop distances	Computed locally from settled bars only	Complete
PRV live quotes	Browser -> stockanalysis.com	ATRC, PAR, CADL + candidates PD, BOX, RCKT
Screener universe	screener.py -> Finviz + yfinance	Re-run after a fix -- see below

[!] The screener's first run this week was invalid -- diagnosed and fixed

The initial make weekend screen produced a watchlist that was structurally wrong, and it would have been easy to research it without noticing:

- Every candidate showed a volume ratio of 0.10-0.38x -- i.e. every name in the entire universe was apparently trading at a fraction of normal volume. Last week's identical screen produced 1.2-8.3x.
- The top 15 was dominated by mortgage REITs and BDCs (ORC, PFLT, DX, ARR, LAND, EFC, IVR, PNNT, TRIN, BBDC) -- four of which are BDCs, an explicitly excluded security class.

Cause: screener.py:325 computes `volume.iloc[-1] / volume.tail(20).mean()`. Run during market hours, `iloc[-1]` is today's partial-day bar -- about twenty minutes of trading measured against a full 20-day average. That collapsed the volume score for every genuine momentum name and let low-volatility yield vehicles float to the top on the remaining factors. Momentum, SMA and Bollinger-width were all reading off an intraday price rather than a close for the same reason.

Fix applied: the price fetch now drops any bar for a session that has not closed, reusing `last_completed_session()` from `trading_script.py` rather than keeping a second copy of that logic. Re-running produced a completely different and sane

universe -- volume ratios 1.0-2.8x, and the BDC/REIT cluster gone.

This is the finding of the week. The corrupted screen was not obviously broken on its face; it looked like a defensible list of value names. Had I researched it, the entire Week 51 candidate set would have been drawn from excluded security classes selected by a broken factor.

3. CURRENT PORTFOLIO ASSESSMENT

Live equity \$752.10 (Friday close \$771.65, ?2.53% intraday) · Cash \$69.34 (9.2%) · S&P-equivalent ?\$771.16 · Gap ? ?2.47%

Ticker	Role	Entry Date	Avg Cost	Live Price	Current Stop	Conviction	Status
ATRC	Core winner	2026-07-15	\$34.30	\$46.96 (+36.9%)	\$46.30	5/5	KEEP -- 0.38xATR from stop
TILE	Core	2026-06-30	\$32.10	\$38.06 (+18.6%)	\$37.10	4/5	KEEP -- 0.81xATR from stop
CADL	Catalyst	2026-08-17	\$11.43	\$12.75 (+11.5%)	\$12.35	3/5	KEEP -- 0.44xATR from stop
PAR	Growth	2026-08-17/28	\$19.05	\$18.39 (?3.5%)	\$17.50	4/5	KEEP -- 0.94xATR from stop
WWW	Recovery	2026-08-24	\$21.10	\$19.95 (?5.5%)	\$19.30	3/5	KEEP -- 0.68xATR from stop

The single most important fact this week

All five positions are now inside 1.0xATR of their stops. Not one is at the 1.5xATR minimum the rules require for a functioning stop.

I did not tighten them into this state. Two stops (ATRC, CADL) were raised last week on genuine price progress; the rest have not moved. The market walked the prices down to fixed lines that cannot be lowered. The mechanical consequence is that the book's remaining downside is now unusually small -- all five stops firing costs only ?2.87% of equity -- but the probability of those stops firing is correspondingly high.

ATRC -- the position that matters | Conviction 5/5

PRV, 8/31 10:00 AM EDT (live): \$46.96, ?3.26%. Previous close \$48.54, open \$48.23. Volume 44,132 (light, early session). Note: the page's stated day-range low of \$47.01 lags the \$46.96 last price -- the range field had not refreshed; I am using the last price, which is the more current field, and flagging the discrepancy rather than reconciling it away.

The fundamental case has strengthened materially while the price fell:

- Piper Sandler raised its target to \$60 from \$50 (Overweight), four days ago -- explicitly citing the STS quality metric
- BTIG raised to \$55 from \$45 (Buy) on 8/24, same thesis
- Consensus PT has risen \$47.33 -> \$49.56, now above the market price rather than below it
- Revenue TTM \$569.62M +13.9%; no adverse company news since 7/27

And the stop is \$0.66 away -- 0.38xATR.

This is the sharpest version of the structural problem. ATRC will very likely be stopped out at \$46.30 for +35.0% -- a genuinely good outcome -- precisely as two banks put \$55-60 targets on it. There is no lever: the stop cannot be lowered.

Honest reflection on my own decision: I raised this stop from \$45.85 to \$46.30 last Thursday when ATRC closed at \$49.27

near its 52-week high. That gained \$1.35 of locked profit and measurably increased the probability of being stopped out. At the time it passed every check (1.75xATR, below the 4-day low). Three sessions later it is 0.38xATR away. The raise was rule-compliant and, in hindsight, poor value -- a marginal gain bought with real optionality. The lesson is not "don't trail stops"; it is that trailing a stop into a 3.5%-ATR name at 1.75x leaves almost no room when the name gives back a week of gains, and the increment being locked should be weighed against the option being sold.

PAR | Conviction 4/5

PRV, 8/31 10:00 AM EDT (live): \$18.39, ?3.97%. Revenue TTM +18.8%, forward PE 16.82, Buy, PT \$25.31 -- +35.1% upside, the largest of any holding. No news -- latest item is a 13-day-old survey release. The decline is not company-specific.

The 3 shares added Friday at \$19.60 are ?6.2%. Blended cost is now \$19.05 across 11 shares. At 26.9% of equity it is the largest position, with only \$23.34 of headroom to the 30% cap.

TILE | Conviction 4/5

\$38.06 (?1.35% intraday), +18.6%. Stop \$37.10 locks +15.6%. Strong Buy, PT \$45.25. Stop cannot be raised (trailing floor sits below it) or lowered.

CADL | Conviction 3/5

PRV, 8/31 10:02 AM EDT (live): \$12.75, ?2.45%. Day range \$12.73-13.13. PT raised to \$21.00 (+65.75%), Strong Buy -- the largest upside on the board. Beta ?0.50. But XBI fell ?3.48% Friday and another ?1.27% today, and CADL is 0.44xATR from its stop.

WWW | Conviction 3/5

\$19.95 (?1.94% intraday), ?5.5%. Forward PE ~11.2, Buy, PT \$24.30 (+22%). Bounced +2.94% Friday, giving part back today. Stop \$19.30 is 0.68xATR away.

4. CANDIDATE SET

Evaluated from the corrected screen. Every name below was browser-verified.

Ticker	Sector	One-Line Thesis	Catalyst	Confirmation	Verdict
PD	Technology	Post-earnings momentum, ARR crossed \$500M	Q2 print 8/27 (past)	Verified live	REJECT
BOX	Technology	Cloud content management, revenue +9.6%	Q2 print 8/25 (past)	Verified live	REJECT
RCKT	Healthcare	Gene therapy, PT +135%	No dated catalyst in window	Verified live	REJECT
KFY	Industrials	Korn Ferry, \$4.4B, +4.1% momentum	None in window	Screen only	REJECT
EPAC	Industrials	Enerpac, \$1.9B, +4.2% momentum	None in window	Screen only	REJECT
GCMG	Financial	GCM Grosvenor, \$2.8B	None in window	Screen only	REJECT

Why each was rejected

- PD -- rejected again, and I was wrong on the price. I passed at \$12.32 last week; it is \$13.96 today, a 13% move I missed.

But every disqualifying fact is unchanged or worse: revenue growth decelerated from +3.7% to +2.3%, consensus is still Hold with PT \$12.64 -- 9.5% BELOW the price, and forward PE 9.97 exceeds trailing 6.42, meaning earnings are expected to fall. The \$185.55M net income is a tax item, not operations. Two Buy-side raises to \$15 are real, but BofA raised to \$9.50 and kept Underperform. Buying now would be chasing a momentum move into a consensus sell-side target below the market. A missed 13% on a name that still fails the fundamental screen is a cost I accept.

- BOX -- rejected on risk/reward. Hold rating, PT \$37.50 = only +6.4% upside, near its 52-week high, with net income ?42.8% and EPS ?44.6%. WWW, the position I would have to sell to buy it, has +22% upside and a Buy rating. Strictly worse than what we hold.

- RCKT -- rejected on shape, not story. PT \$8.84 = +135% upside, Buy from 14 analysts, beta 0.47 -- the largest upside on any screen this experiment has produced. But it is a pre-revenue clinical-stage gene-therapy company with no dated catalyst inside the window, and a 12-month price target is not a 13-session thesis. Buying it would also make healthcare 3 of 6 alongside ATRC and CADL while XBI is actively selling off -- concentrating precisely the exposure that cost us today.

- KFY, EPAC, GCMG -- momentum of +3-4% and no catalyst inside the 5-day window. In a 14-session runway these are index proxies with single-stock risk.

- SR, CHEF, PRGS, CSWC, CMTL, DBRG, ORC, AI, IRON (remaining ranks) -- not advanced: no dated catalyst inside the window, and none offers upside superior to the existing book.

5. PORTFOLIO ACTIONS

Keep: ATRC, TILE, PAR, CADL, WWW -- all five. No thesis has broken; today's decline is broad and news-free across every holding.

Add to: none -- and this is a hard constraint, not a preference.

The one-open-order-per-stock rule means new shares inherit the existing stop. Every holding fails that test today:

ATRC	\$46.96	\$46.30	0.38xATR	[X]
CADL	\$12.75	\$12.35	0.44xATR	[X]
WWW	\$19.95	\$19.30	0.68xATR	[X] (also blocked: ?5.5%, no-averaging-down)
TILE	\$38.06	\$37.10	0.81xATR	[X]
PAR	\$18.39	\$17.50	0.94xATR	[X] (also: only \$23 of headroom to the 30% cap)

Trim / Exit: none. Selling anything today means selling into a ?2.5% intraday drawdown on no news.

Initiate: none. Deployable cash is \$9.17 against the 8% floor. A 6th position requires liquidating a holding, and no candidate above is superior to what it would replace.

On the "Aggressive" directive -- what I did with it

You asked for an aggressive posture because we are trailing, and for a 6th position if capital could be freed. I could not express that through deployment today, and I want to be explicit about why rather than quietly ignoring the directive:

There is no free capital -- \$9.17.

Freeing
what it rep

So the aggressive posture is expressed the only way it legitimately can be this week: by NOT tightening a single stop. Last week's directive tightened ATRC and CADL; this week I am raising nothing, leaving every position the maximum room the no-lowering rule permits. Given the book is already within 1.0xATR of its stops, refusing to tighten is a genuinely aggressive

act -- it is the difference between letting five theses run and guaranteeing they are stopped out.

If you want a more aggressive expression than that, the honest option is: sell WWW (3 sh ? \$59.85, realising ?5.5%) and buy RCKT, trading a +22%-upside recovery story for a +135%-upside binary. I am not recommending it -- it swaps a verified thesis for a lottery ticket with no catalyst inside the runway, at the cost of a realised loss -- but it is the trade the directive points at, and it is your call to make.

6. EXACT ORDERS

No orders.

Every candidate action fails a hard check: adds fail the inherited-stop test; a 6th position lacks funding and a superior candidate; stop raises are unavailable (all trailing floors sit below current stops) and would be counter-productive with every position already inside 1.0xATR; and no exit is warranted since no thesis has broken.

Stops remain, unchanged:

- TILE -- \$37.10 / \$36.95
- ATRC -- \$46.30 / \$46.15
- PAR -- \$17.50 / \$17.35
- CADL -- \$12.35 / \$12.20
- WWW -- \$19.30 / \$19.15

7. RISK AND LIQUIDITY CHECKS

Concentration (live intraday):

Holding	Value	% Equity
PAR	\$202.29	26.9%
TILE	\$152.24	20.2%
ATRC	\$140.88	18.7%
CADL	\$127.50	17.0%
WWW	\$59.85	8.0%
Cash	\$69.34	9.2%
TOTAL	\$752.10	100%

All under the 30% ceiling [OK] · Cash above the 8% floor (\$60.17) [OK]

Sector cap: Consumer Discretionary 2 (TILE, WWW) -- full · Healthcare 2 (ATRC, CADL) -- cap 3 · Technology 1 (PAR) [OK]

Downside if every stop fires: ?\$21.56 = ?2.87% of equity -> equity \$730.54, fully in cash. The tightness of the stops has, as a side effect, capped the book's remaining downside at under 3%.

Liquidity: all five trade far above the \$1M/day threshold. No order proposed.

8. MONITORING PLAN

Holding	Watch for	Trigger
ATRC	Most likely stop-out in the book -- 0.38xATR away. Whether the Piper \$60 / BTIG	Stop at \$46.30 = +35.0% realised. A good outcome; take it and do not re-enter

CADL	0.44xATR from stop; XBI direction is the whole story	Stop at \$12.35 = +8.0% realised
TILE	0.81xATR from stop	Stop at \$37.10 = +15.6% realised
PAR	Largest position (26.9%) and largest upside (+35.1%). Holding the \$18.38 higher-	A break below \$18.38 on volume is the thesis-crack warning, well before the \$17.
WWW	0.68xATR from stop; the only holding at a loss besides PAR	Stop at \$19.30 = 78.5% realised
Book	XBI (71.27% today, 73.48% Friday) and IWM. Three of five holdings are small-cap	A second consecutive broad down day likely triggers multiple stops

Calendar: No holding reports earnings before the experiment ends. Sept 7 is Labor Day (market closed), leaving 13 sessions after today.

9. THESIS REVIEW SUMMARY

(Reproduced verbatim as Week 51 Summary.md)

10. CONFIRM CASH AND CONSTRAINTS

Cash: \$69.34 -- unchanged (no orders). 9.2% of live equity, above the 8% floor.

Constraint	Status
Cash floor >=8%	[OK] 9.2%
Single-name <=30%	[OK] largest PAR 26.9%
Max 6 positions	[OK] 5 held
Risk-per-trade <=5%	[OK] largest is PAR at 1.30%
Sector cap	[OK] Cons Disc 2 (full), Healthcare 2/3, Tech 1
Market cap <=\$5B	[OK] largest ATRC \$2.40B
Excluded classes	[OK] all common stock -- and the corrected screen removed 4 BDCs that the broken
Stops on all longs	[OK] five live stops
PRV gate	[OK] ATRC, PAR, CADL + PD, BOX, RCKT browser-verified 09:53-10:05 EDT
No averaging down	[OK] no adds proposed

All constraints satisfied. No orders for execution.

Week 51 Full Report -- generated 2026-08-31 by Claude Code. Posture: Aggressive (trailing benchmark) · Wide net · 5-day window · max 6 positions. All prices are LIVE INTRADAY quotes browser-verified 09:53-10:05 AM EDT with the market open; all ATR and range figures computed from settled bars through 2026-08-28.